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Diamond Trust Bank 1H20 Earnings Note

DTB's 1H20 net earnings plummeted 38.2% y/y to KES 2.4B driven by a 249% y/y surge in loan loss provisions to KES 1.9B and a 28% y/y increase in total operating expenses. We maintain our BUY recommendation.

DATE:	**26th Aug 2020**
Target Price:	**KES 97.2**
Current Price:	**KES 67.25**
Upside:	**69.2%**
52 Week High:	**KES 120.25**
52 Week Low:	**KES 64.75**

Topline supported by non-interest revenue growth

DTB reported a 5.9% y/y increase in non-interest income to KES 3.2Bn which was above our estimate of a 3.9% y/y growth. The growth was supported by 28.7% y/y growth in forex income to KES 1.3Bn and 24.2% y/y increase in fees and commissions on loans to KES 741Mn.

Weaker Net Interest Margin (NIM)

DTB's net interest margins weakened 21bps y/y to 5.6% as yields on interest earning assets decline by 66bps to 9.7%. This may be attributed to the lower interest earned on loans linked to the CBR, which declined during the period.

Asset quality declines as NPL ratio increases to 8.3%

The NPL ratio rose 71bps y/y as NPLs increased by 16.3% q/q to KES 17.5Bn. The bank increased its provisioning levels substantially (249.2% y/y) with the NPL coverage ratio rising 883bps q/q to 51.2%

Lower efficiency levels

DTB's Cost-to-income ratio (CTI) rose 229bps y/y (382bps q/q) to 49.1% which was contrary to our expectation of a decline in the CTI ratio to 48%. This growth occurred on the back of an increase in staff costs, amortization expense and rental expenses rose 6.8% y/y, 199.3% y/y and 149.8% y/y respectively. During this period when banks are leveraging on technology, we expected to see a drop in DTBs rental expenses.

Our View

DTB is attractive at the current price as it is trading at a P/E ratio of 3.3x, against an industry median of 5.3x, and a P/B of 0.3x against an industry median of 0.6x.

Analyst

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Financial Statements

Income statement(KES Millions)	HY20	HY19	% Change
Loans and advances to Customers	9,572	9,904	-3.35%
Loans n Adv to Banks	60	166	-63.86%
Government Securities	6,176	6,274	-1.56%
Interest Income	**15,808**	**16,344**	-3.28%
Deposits from Customers	5,561	6,072	-8.42%
Deposits from Banks	357	395	-9.62%
Other interest expense	595	690	-13.77%
Interest Expense	**6,513**	**7,156**	-8.99%
Net interest income	**9,295**	**9,188**	1.16%
Non interest income	3,152	2,977	5.88%
Total operating income	**12,445**	**12,165**	2.30%
Operating Expenses	7,974	6,225	28.10%
Loan loss provisions	1,866	534	249.44%
PBT	**4,483**	**5,951**	-24.67%
Tax	1,860	1,819	2.25%
Profit after tax	**2,402**	**3,884**	-38.16%

Balance sheet	HY20	HY19	% Change
Cash with CBK	17,595	26,198	-32.84%
Government securities	132,526	120,724	9.78%
Deposits due from banks	10130	11315	-10.47%
Loans and advances	201,455	190,778	5.60%
Other assets	3,035	2,288	32.65%
Total assets	**388,254**	**375,930**	3.28%
Liabilities			
Customer deposits	280,369	283,065	-0.95%
Borrowed funds	17057	13204	29.18%
Other liabilities	4,372	3,870	12.97%
Total liabilities	321,128	313,425	2.46%
Shareholders Equity	61,031	56,941	7.18%
Total liabilities & Equity	**388,254**	**375,930**	3.28%

Source:Company fillings

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Investment ratings

- **BUY:** Issued on counters with strong fundamentals whose upside lies between 10.0% and 20.0%.
- **HOLD:** Issued on counters with an upside of between 0% and 10.0%
- **SELL:** The counter currently has weak fundamentals coupled with potential downside.

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